

24STCV27155 24STCV27155

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Ourelco, Inc. v. Michael Costello

Friday,

July 31, 2026

[TENTATIVE] ORDER DENYING REQUEST FOR COURT JUDGMENT

This

action arises from the alleged breach of two lease agreements. Plaintiff requests court judgment in the principal amount of \$301,966.40. (Prop. Jgmt. 5/20/26.)

A

defaulting defendant confesses the material allegations of the complaint that are well pleaded. (Johnson v. Stanhiser (1999) 72

Cal.App.4th 357, 362.) Damages may only be awarded for

a “well-pled cause of action, and to that end, the complaint must be examined.” (Carlsen v. Koivumaki (2014)

227 Cal.App.4th 879, 899–900.) The judge

must “take time to analyze the complaint to ensure that it supports the judgment that plaintiff is seeking and to determine whether the evidence ...

supports the requested damages.” [citation omitted]. (LCPFV, LLC v. Somatdary Incorporated (2024) 106 Cal.App.5th 743.)

The

complaint is not well pleaded because where money or damages is demanded, the amount demanded shall be stated, unless it is a personal injury or wrongful death action. (Code Civ. Proc., § 425.10.) Plaintiff

alleges the amount of rent due and unpaid, however, Plaintiff also seeks unspecified

damage “in a sum according to proof for the worth at the time of the award of unpaid rent from June 1, 2022 to May 31, 2026, the period after termination of the Lease 1 until the time of award, less any rent received by Plaintiff from reletting the 115 E. 9th Street of the Premises.” (Complaint, ¶ 13.)

Plaintiff

also seeks damage “in a sum according to proof representing advertising and brokerage fees.” (Complaint, ¶ 14.) Plaintiff must allege the amount of damage in a specified sum for contract claims. (Cal. Code Civ. Procedure §425.10.)

With

respect to the proposed default judgment, the principal amount of damage sought exceeds the amount alleged in the complaint. Where there is no answer, the relief granted cannot exceed that demanded in the complaint. (Code Civ. Proc., § 580.) In an action on contract for the recovery of money damages only, where default against a defendant has been entered, the court renders judgment “for that relief, not exceeding the amount stated in the complaint,” (Code Civ. Proc., § 585(b).)

Except

in personal injury or wrongful death cases, courts must look to the prayer of the complaint or to “allegations in the body of the complaint of the damages sought” to determine whether a defendant has been informed of the “maximum liability” he or she will face for choosing to default. (People ex rel. Lockyer v. Brar (2005) 134 Cal.App.4th 659, 667; Parish v. Peters (1991) 1 Cal.App.4th 202, 216.)

The

most that the court can award in principal damage is \$34,545.40 for breach of the first lease and \$148,285 for breach of the second lease for a total of \$182,830.40. (Complaint, ¶¶ 12, 18.) The proposed judgment seeks \$301,996.40 in principal damages.

A

judgment in excess of the alleged amount is void as it exceeds the court’s jurisdiction and violates the defendant’s due process rights. (Greenup v. Rodman (1986) 42 Cal.3d 822, 826 [“the primary purpose of the section is to guarantee defaulting parties adequate notice of the maximum judgment that may be assessed against them.”].)

In

addition to the foregoing defects, there is no evidence showing the amount of rent unpaid in the amounts alleged for both leases at the time of termination (i.e., business record, account statement, account ledger, etc.) Nor has Plaintiff proffered evidence to support commission expenses and brokerage fees purportedly incurred. (Kohanim decl., ¶¶ 13, 15.) (Kim v. Westmoore Partners, Inc. (2011) 201 Cal.App.4th 267, 272 ["... it is incumbent upon the plaintiff to prove up his damages, with actual evidence."].)

Plaintiff

intends to make a motion for attorney's fees following default judgment. (Kohanim decl., ¶¶ 14, 23.) For future reference, when a promissory note, contract, or statute provides for the recovery of reasonable attorneys' fees, the court calculates attorney's fees based on the principal damage suffered (Los Angeles Superior Court Rules, Rule 3.214.) A motion is not necessary.

As

the complaint fails to state a cause of action for breach of contract, the request for court judgment is denied. Plaintiff can amend the complaint to state the amount of damages in a specified sum, serve the Defendant anew, and seek default entry based on the amended complaint, assuming Defendant fails to answer. (Engbretson & Co. v. Harrison (1981) 125 Cal.App.3d 436, 440 ["An amendment which significantly increases the amount of damages sought is an amendment of substance which must be served before a default can be entered."].)